

Netflix Prize

Hybrid Recommender System

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315,101

Unique Users

312

Movies

1.5M

Ratings

98.47%

Sparsity

PROBLEM OVERVIEW

Engineering Bottlenecks in Large-Scale Recommender Systems

Extreme Sparsity

98.47% of the rating matrix is empty. Only 1.53% of interactions are observed — unstable distance computations plague naive CF models.

Cold-Start Anomaly

New users or items lack interaction history. Classical collaborative neighborhoods cannot place them without content signals.

Scalability / Memory

Naive $N \times M$ matrices incur $O(N \cdot M)$ quadratic complexity. CSR sparse architecture reduces footprint to $O(E)$ — linear with actual ratings.

Accuracy vs Interpretability

High-dimensional SVD factorization optimises RMSE but acts as a black box. Content models are transparent but less numerically precise.

APPROACH — THREE-MODEL PIPELINE

Raw Interaction
Data

CSR Sparse
Matrix

SVD
Factorization

TF-IDF
Content Space

Hybrid
Ensemble $\alpha=0.5$

Model 1 — Pure SVD

Collaborative Filtering

$$\hat{P}_{\text{svd}}(u, i) = \mu + (U_u \cdot \sqrt{\Sigma}) \cdot (\sqrt{\Sigma} \cdot V^T i)^T$$

- ▶ $k = 10$ latent factors
- ▶ Decomposes $R \approx U \times \Sigma \times V^T$
- ▶ Missing values initialised to global mean μ
- ▶ Best RMSE: 1.0406

Model 2 — Content-Based

TF-IDF + Cosine Similarity

$$\hat{P}_{\text{cb}}(u, i) = \sum_j S(i, j) \cdot R_{u, j} / \sum_j |S(i, j)|$$

- ▶ TF-IDF vectorization on titles
- ▶ Cosine similarity matrix
- ▶ Cold-start robust (fallback to mean)
- ▶ Interpretable item-level explanations

Model 3 — Hybrid Ensemble

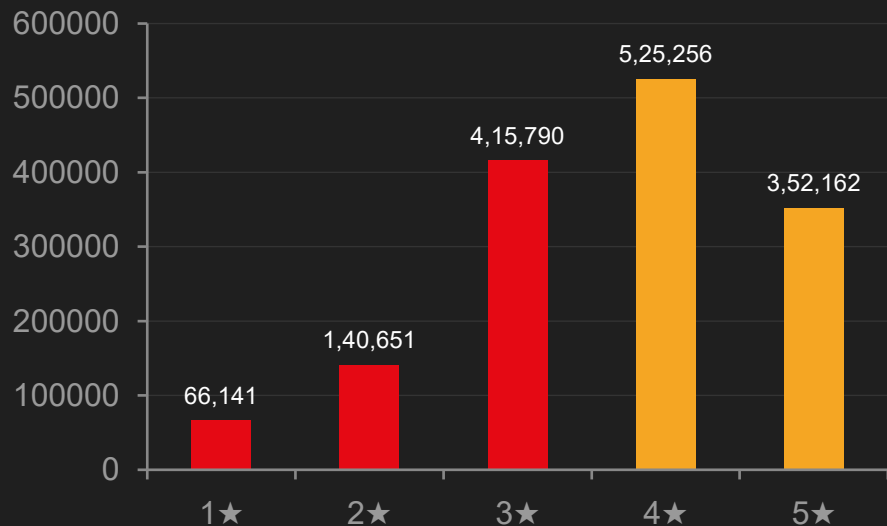
Optimal Blending $\alpha = 0.5$

$$\hat{P}_{\text{hybrid}} = \alpha \cdot \hat{P}_{\text{svd}} + (1-\alpha) \cdot \hat{P}_{\text{cb}}$$

- ▶ Grid-search optimised $\alpha = 0.5$
- ▶ Best NDCG@10: 0.0447
- ▶ Balances accuracy & cold-start
- ▶ Generates human-readable explanations

KEY INSIGHTS — EXPLORATORY DATA ANALYSIS

Rating Distribution



58.5%

Positive Ratings

4–5 star band dominates — positive platform bias inflates naive RMSE baselines.

4.8

Avg Ratings/User

Most users are sparse raters — long-tail distribution confirms need for low-rank factorization.

#1 Hit

Popularity Bias

"Something's Gotta Give" alone has 118,413 ratings — blockbuster over-representation risk.

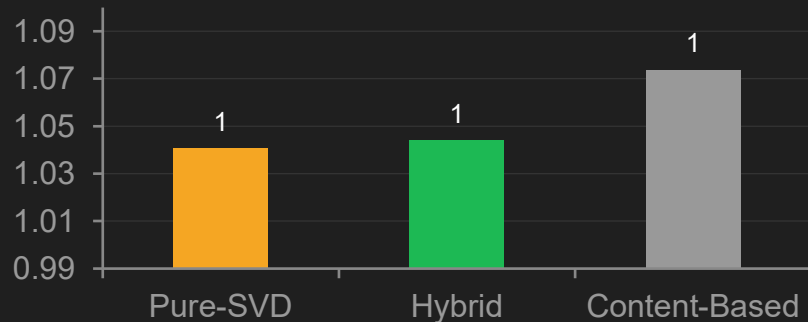
98.47%

Matrix Sparsity

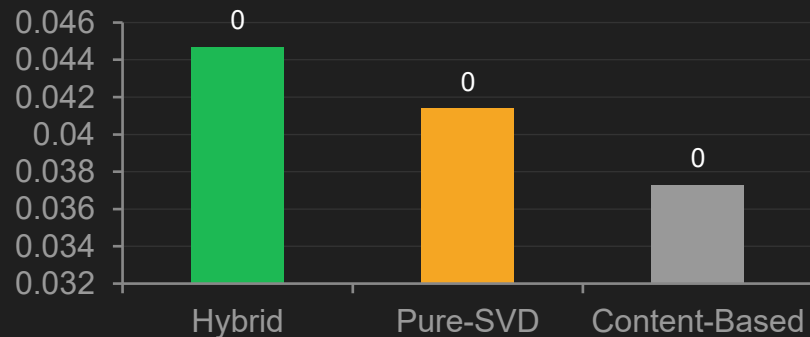
Only 1.53% of the rating matrix is populated — CSR architecture is mandatory.

EXPERIMENTAL RESULTS

RMSE (Lower = Better ↓)



NDCG@10 (Higher = Better ↑)



Model	RMSE ↓	MAE ↓	MAP@10 ↑	NDCG@10 ↑
Pure-SVD	1.0406 ★	0.8614	0.0135	0.0414
Content-Based	1.0738	0.8787	0.0167	0.0373
Hybrid ★	1.0440	0.8631	0.0156	0.0447 ★

Key Finding: Hybrid achieves best NDCG@10 — ranked recommendation quality is the primary metric for user-facing discovery.

KEY INSIGHTS

01 Extreme Sparsity Drives Degradation

98.47% of the matrix is empty. Classical neighbourhood models fail — low-rank SVD factorization is essential to maintain prediction stability across sparse validation sets.

02 Popularity Bias Dominance

Top 1% of movies account for a disproportionate share of all interactions. Latent vectors skew toward blockbusters, suppressing long-tail niche recommendations without explicit popularity penalties.

03 RMSE $\neq$ NDCG Optimisation

Minimising rating error does not automatically maximise ranked discovery quality. Architecture choices must align with delivery goals — Pure-SVD wins RMSE; Hybrid wins NDCG, which matters more for UI.

04 Explainability via Hybrid Layering

Pure collaborative models are black boxes. Blending a content-vector layer enables human-readable explanations ("Because you enjoyed X..."), building user trust without sacrificing accuracy.

RECOMMENDATION EXAMPLES — MODEL INTERPRETABILITY

✓ SUCCESS CASE — HIGHEST ACCURACY

User Profile ID	135763
Movie Asset	Chappelle's Show: Season 1
Ground Rating	4 ★
Model Prediction	4.00 ★
Prediction Error	0.00 (Perfect Accuracy)

AI Explanation

"Because you enjoyed 'The Game', you are likely to enjoy 'Chappelle's Show: Season 1'."

✗ FAILURE CASE — MAXIMUM DEVIATION

User Profile ID	2296816
Movie Asset	Death to Smoochy
Ground Rating	1 ★
Model Prediction	4.07 ★
Prediction Error	3.07 Stars (Extreme Bias)

Root-Cause Diagnosis

User shares high latent-vector similarity with cohort who rated positively — yet holds a sub-genre aversion undetectable from CF signals alone.

CONCLUSION & FUTURE ROADMAP

The Hybrid Ensemble ($\alpha=0.5$) achieves competitive RMSE 1.0440 and best-in-class NDCG@10 0.0447 — demonstrating that blending collaborative accuracy with content interpretability delivers superior real-world recommendation quality.

NEXT-GENERATION UPGRADES



Neural CF (NCF)

GMF + MLP layers — learns non-linear interactions, reduces residual RMSE



Graph Conv. Nets

LightGCN embeddings — captures multi-hop context, mitigates sparsity



RL Bandits

UCB / Thompson Sampling — dynamic exploitation-exploration, solves cold-start



Distributed Search

Milvus / FAISS ANN indexing — sub-millisecond top-K retrieval at scale